

KAVACH REGULATORY AUTHORITY

Department of Financial Supervision, Mumbai - 400001

Circular No: KAVACH/2024/03

Date: 15 April 2024

[Note: Overlapping scope with KAVACH/2024/06]

Re: Wire Transfer Monitoring and Cross-Border Transaction Controls

1. All SWIFT and cross-border wire transfers exceeding USD 10,000 shall be screened against OFAC, UN, EU, and domestic sanctions lists.
2. Transfers to/from FATF grey/black list countries require: (a) Compliance officer approval, (b) Documented remittance purpose, (c) Enhanced beneficiary due diligence, (d) 90-day post-transaction monitoring.
3. Real-time screening of wire transfer originators and beneficiaries. Partial name matches with 85% or above similarity score escalated for manual review.
4. Rapid pass-through: funds received via wire and moved out within 24 hours with near-zero balance flagged as layering. Layering defined as 3 or more sequential transfers within 48 hours to different beneficiaries.
5. Wire transfers must include complete originator information per FATF Recommendation 16.
6. Monthly aggregate reports of cross-border transactions by corridor submitted to FIU-IND by the 10th.

SYNTHETIC circular for demonstration. Not actual regulatory guidance.